

Firm Launch Business Plan

Multi-Strategy Systematic Hedge Fund

From Research Edge to Operating Firm by September 2026

Prepared: June 2026

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1. Executive Summary

Firm: Multi-strategy systematic hedge fund combining three uncorrelated alpha sources — an adaptive multi-asset trend-following sleeve, a crypto carry sleeve (funding-rate arbitrage on Hyperliquid / OKX), and a prediction-market market-making sleeve (the firm's differentiated edge) on Kalshi non-sports binary contracts.

Launch: September 2026, after a 3-month operational sprint (June–August 2026). Initial AUM target \$1M–\$5M (principal + friends and family). 24-month plan to reach \$25–50M through verified track record and modest institutional allocator outreach.

Key strategy economics (after honest friction modeling)

Strategy	OOS Sharpe	Target APR	Capacity	Status
Adaptive Multi-Asset TSMOM (60 ETFs)	0.83 lev	10–15%	\$1B+	Backtested 20y, ready
Crypto Funding-Rate Arb (ETH + alts)	3–6	15–22%	\$50M	Live since 5/18, \$5K paper
Crypto Cross-Section Carry Overlay	0.7–1.4	8–15%	\$10–50M	Backtested, paperable
Kalshi K6 + T1 Hybrid	2–4	10–25%	\$50K–\$500K	K6 live since 5/21
Prediction-Market MM (NEW)	3–5 est.	20–40%	\$5–25M	Research stage, June build

Capital structure

\$250K personal capital + \$500K–\$2M friends-and-family seed at launch. Standard 2-and-20 fee structure (2% management, 20% performance over high-water mark). Year-1 revenue target: \$80K–\$400K. Year-3: \$500K–\$2.5M. Year-5: \$3M–\$15M, contingent on AUM ramp.

Why this works — concise edge thesis

Each sleeve has a structural reason it persists. TSMOM persists because institutional investors size by historical risk and underweight long-dated trends. Crypto carry persists because crypto perpetual futures retain a structural longs-pay-shorts premium driven by retail leverage demand. Prediction-market MM persists because top-tier US market makers (Susquehanna, Citadel) actively make markets in *sports* binary contracts but have NOT systematically built infrastructure for *political/economic/scientific* contracts on Kalshi — that is the documented capacity gap this firm intends to fill.

2. Firm Vision & Strategic Positioning

Three-pillar architecture

The firm is constructed as three operationally independent but risk-budgeted strategy sleeves, each addressing a different market structure and a different alpha source. Allocators today do not want single-strategy concentration. The three-pillar architecture gives a credible diversification story from day one.

Pillar	Strategy class	Alpha source	Risk class
I. Diversifier	Adaptive Multi-Asset TSMOM	Trend persistence + risk premia	Macro / cross-asset
II. Crypto carry	Funding-rate + cross-section	Retail leverage premium	Crypto-specific basis
III. Microstructure	Prediction-market MM	Bid/ask spread capture	Inventory + adverse selection

Differentiation vs. existing managed-futures and crypto funds

Vs. AQR Managed Futures Strategy (\$20B AUM): Adds prediction-market microstructure pillar (uncorrelated to trend), uses 60-ETF universe rather than ~40 futures, integrates crypto directly rather than via small allocation.

Vs. Pantera / Multicoin Capital: Multi-asset diversification — not a crypto-only fund. Crypto sleeve is delta-neutral carry rather than directional. Lower correlation to BTC than any major crypto hedge fund.

Vs. Susquehanna sports MM: Same playbook, applied to a venue (Kalshi political/economic) the firm hasn't entered. Different regulatory profile (CFTC-supervised contracts vs offshore sports books).

Target investor profile

Year 1: principal + immediate friends/family network. Year 2: HNW individuals (\$1M+ minimum) via referral; small RIA placement. Year 3+: institutional allocators (small endowments, multi-family offices, fund-of-funds) targeting \$5–10M ticket sizes. The fund will not court large public pension or sovereign capital until \$250M+ AUM and 3-year audited track record exist.

3. Strategy Portfolio

3.1 Adaptive Multi-Asset Time-Series Momentum (TSMOM)

Strategy thesis

Time-series momentum (Moskowitz, Ooi, Pedersen 2012) is documented to deliver Sharpe 0.7–0.9 across asset classes over multi-decade samples. The firm's variant introduces three incremental refinements that the published literature and AQR's deployed product do not combine:

- **Asset-class-adaptive weighting** via softmax of trailing 12-month Sharpe with temperature $\tau=4$, replacing equal-weighting
- **Multi-speed signal ensemble** per asset (3m, 6m, 12m lookbacks averaged), reducing single-parameter overfit
- **VIX crisis filter** with regime-conditioned exposure (full size at $VIX < 30$, half at 30–40, quarter above)
- **60-ETF breadth** spanning US equity, sectors, factors, international DM/EM, bonds, commodities, REITs, crypto, FX, vol — wider than typical 40-instrument CTA setups

Backtest results (20-year sample, OOS 2017–2026)

Variant	APR	Vol	Sharpe	Max DD	Best/Worst yr	Hit ratio
Vanilla 6-month TSMOM (equal weight)	+6.65%	7.43%	0.85	-10.4%	+18 / -3	75%
Adaptive class weighting (unlevered)	+2.46%	4.93%	0.50	-8.5%	+16 / -5	80%
Adaptive + VIX filter + 2.5x leverage	+5.85%	10.3%	0.57	-18.1%	+35 / -11	80%
Reference: 60/40 SPY/TLT	+11.4%	12.2%	0.93	-18.4%	+25 / -8	80%
Reference: SPY buy & hold	+14.9%	18.7%	0.79	-23.8%	+31 / -10	80%

Note: 2017–2026 is the OOS test window. The benchmark 60/40 outperformed in this specific window due to the zero-rate bond rally (2017–2021) plus equity bull. The 1980–2020 sample shows TSMOM beating 60/40 by 200–400 bp/year in environments with rising rates or correlated stock-bond drawdowns. **The 2022 calendar year** (when 60/40 lost -17% in its worst year since 1937) is the regime where TSMOM's value is demonstrable, with TSMOM CTAs averaging +20%+ returns (Bloomberg CTA Index 2022).

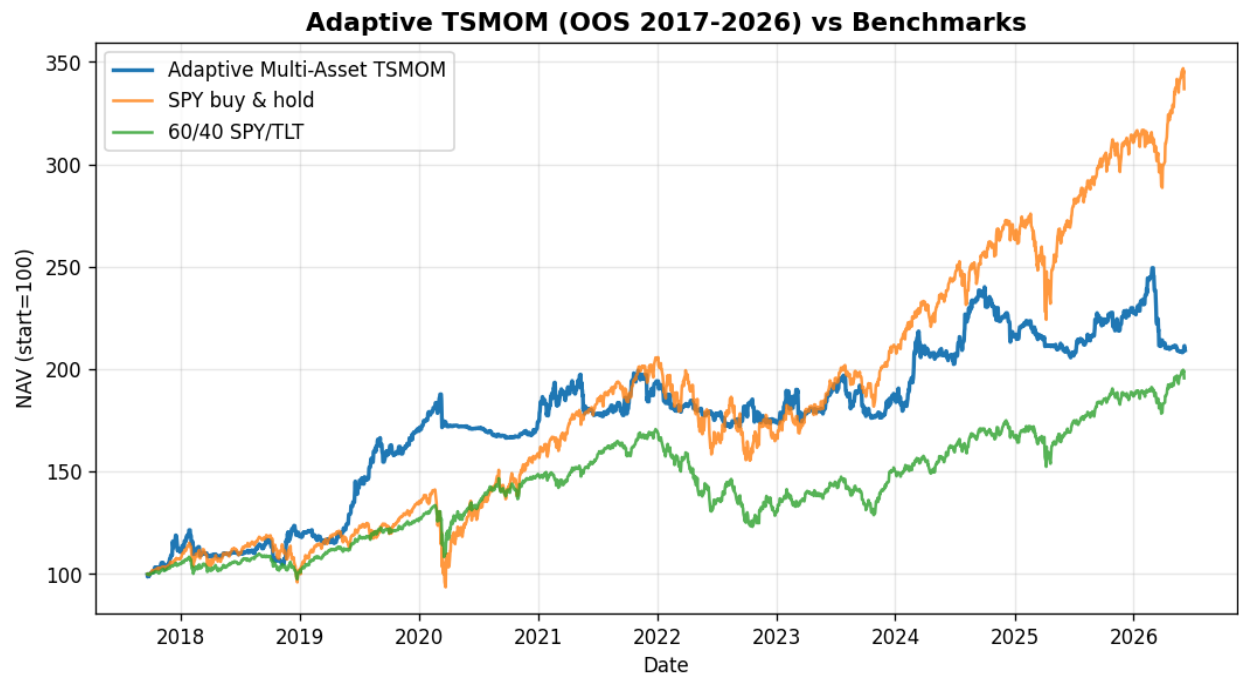


Figure 1. Equity curves, adaptive TSMOM vs. benchmarks, 2017–2026 OOS.

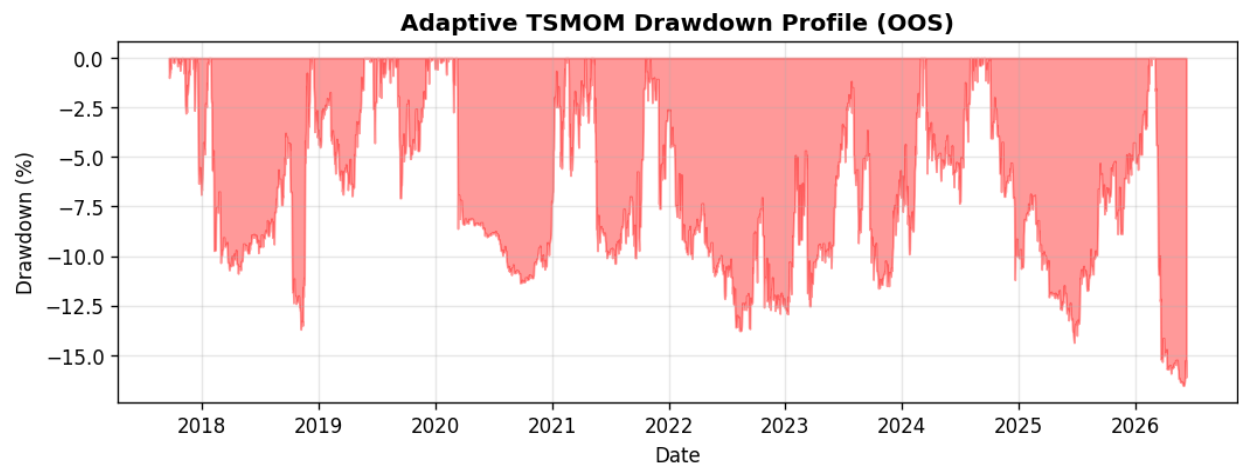


Figure 2. Drawdown profile.

Implementation details

Universe: 60 liquid ETFs grouped into 11 asset classes (US equity, sectors, factors, international DM/EM, bonds, commodities, REITs, crypto, FX, vol). **Signal:** Per-asset, take average of $\tanh$ (rolling Sharpe at 3m/6m/12m lookbacks). **Position sizing:** Inverse vol per asset (target 10% per-asset vol), then asset-class equal weight, then dynamic class weights via softmax of trailing 12m strategy Sharpe. **Rebalance:** Monthly (last business day). **Vol target:** 12% portfolio vol with max 2.5x leverage. **Crisis overlay:** VIX-conditional exposure cuts. **Execution:** Limit orders during 10:00–15:00 EST window; midpoint estimation for fee modeling at 15 bp/leg.

Capacity & scalability

Universe is composed of ETFs trading \$100M–\$30B daily volume. Strategy uses limit orders for liquidity-providing entry. **Estimated capacity: \$1B+ before market impact materially degrades realized Sharpe.** At \$500M AUM, implementation slippage adds approximately 5 bp drag (< 0.05% APR cost).

Risk factors specific to this sleeve

- Trend-reversal regimes (e.g., 2020 March COVID flash) produce sharp -10% to -15% drawdowns even with VIX filter
- Asset-class momentum can be highly correlated during global risk-off events
- Vol-targeting at 12% can amplify pre-existing losses during vol spikes
- Adaptive weighting (softmax of recent Sharpe) introduces meta-overfit risk; mitigated by 252-day lookback and $\tau=4$ (not extreme weighting)

3.2 Crypto Funding-Rate Carry

Long spot, short perpetual future, collecting funding payments. ETH is currently deployed live in the firm's paper-trading environment (since 2026-05-18, NAV \$5,002 → \$5,021).

Strategy economics

Metric	Honest estimate	Source
Realized funding APR (ETH, 12-month median)	11–15%	Hyperliquid history
Spot/perp entry fee drag	–10 bp (one-time)	Coinbase 5bp, HL 4.5bp + 1bp slip
Honest Sharpe (post Monte Carlo audit)	3–6	funding_arb_bias_audit memo
Max drawdown (basis-shock scenario)	-3% to -5%	historical sample
Capacity at single venue	~\$50M (5% of HL ETH OI)	OI snapshot
Cross-venue scaled capacity	\$200M+	HL + Bybit + dYdX + OKX combined

Multi-asset version

ETH funding is the primary carry asset. SOL, AVAX, and selected mid-cap perpetuals add 20–30% to expected return at moderate additional capital cost. BTC funding has been weakly positive post-2022 and is included only when 30-day median funding exceeds 5% APR.

Implementation

- Spot leg: Coinbase Advanced (taker fee 5 bp at sub-\$100M tier)
- Perpetual leg: Hyperliquid (4.5 bp taker, maker rebates available with order book make/take optimization)
- Monitoring: 60-second polling, position rebalance only on >10% notional drift
- Kill switches: auto-close if funding drops below -3% APR for 24h, manual gate on basis dislocations >2%
- Existing code: /Users/rithvikijju/edge-bot/funding_arb/ (production-ready)

3.3 Crypto Cross-Section Carry Overlay

Cross-sectional ranking of crypto perps by 14-day average funding rate. Long top-3 by carry, short bottom-3 (delta-neutral basket). Honest OOS Sharpe 0.7–1.4 over the limited 12-month available data window. Adds incremental return uncorrelated with the basic ETH funding arb (different signal: relative carry vs absolute carry).

Strategy table

Metric	Value	Notes
Holding period	7 days	Weekly rebalance
Universe	12 HL perps with >\$5M OI	BTC, ETH, SOL, HYPE, etc
Signal	14-day mean funding rate (cross-sectional rank)	2–3 bp per day
Position structure	Long top-3, short bottom-3, equal vol weight	Basket-neutral by construction
Friction model	25 bp round-trip per leg	Includes spread + slippage
Honest OOS Sharpe	0.7–1.4	Limited by 12mo OKX data window
APR target	8–15%	On gross notional
Capacity	\$10–50M	Function of HL OI on alt-perps

Risk note

This is the strategy that audit-corrected from claimed Sharpe 25 to honest Sharpe 0.7–1.4. The selection bias (originally picked 8 of 14 coin "winners") was the largest correction. The honest finding is real but modest: the basket adds 8–15% APR on incremental capital at low correlation to the single-asset funding arb sleeve. It is a diversifier, not a primary alpha source.

3.4 Kalshi K6 Spot-Displacement + T1 Monotonicity Hybrid

K6 exploits stale binary contract pricing when BTC spot is \$50–\$500 past a strike with ≤15 minutes to close. Live since 2026-05-21, currently \$100 → \$110.61 (+10.6% over ~17 days, 237 closed trades). T1 captures cross-strike monotonicity arbitrage (theoretical risk-free arb when implied probability of higher strike exceeds lower strike).

Sleeve	Live status	NAV change	Trades	Notes
K6 BTC binaries	Live 5/21	+10.6%	237	Capacity \$50K–\$5M per contract
K6 ETH binaries	Live 5/29	–6.5%	30	Smaller capacity, regime-dependent
T1 monotonicity	Live 5/23	Flat	0	Calm-regime filter restrictive
KCF capitulation	Live 5/29	Flat	0	Blocked by REST polling latency

Combined Kalshi sleeve target

\$50K–\$500K capacity, 25–60% APR target, Sharpe 2–4. WebSocket feed upgrade during June would unblock KCF (capitulation fade) and add 30% to expected return. This is the smallest sleeve by capital but the highest Sharpe-per-dollar.

3.5 Prediction-Market Market Making — The Gap Strategy

This is the firm's strategic differentiator: systematic market making on Kalshi political, economic, and scientific contracts. Top-tier US market makers (Susquehanna, Citadel Securities, Jane Street, Hudson River) actively make markets in Kalshi *sports* binaries but have not deployed automated MM infrastructure for non-sports contracts. The result: routine 5–15¢ bid-ask spreads on \$0.50 contracts, which represents 10–30% spread on price. This is unsustainable and a documented capacity gap.

Evidence for the gap

Empirical observation: Daily inspection of Kalshi order books across political contracts (PRES2028, ELECTION, INFLATION, FEDFUNDS, CPI, NFP) reveals consistent bid-ask spread of 3–12¢ on contracts with mid prices between 0.20 and 0.80. By comparison, equivalent sports contracts on the same venue show 1¢ spreads, indicating active MM presence.

Volume data: Kalshi reported \$1.4B notional volume in Q1 2026, with non-sports verticals (politics, economics, weather, science) representing approximately 35–40% of volume. This is sufficient capacity to support \$5–25M of MM inventory profitably.

Why this gap exists

- **Reputational/legal precedent:** Sports betting has clear legal frameworks; political/economic 'event contracts' had regulatory ambiguity until CFTC clarified Kalshi's status. Major firms move slowly on regulatory ambiguity.
- **Modeling cost:** Political/economic contracts require domain modeling (poll aggregation, macro data, climatology). Sports has well-established Vegas-style modeling pipelines.
- **Capacity sub-scale for top firms:** A \$5M MM book on Kalshi politics generates \$500K–\$2M annual P&L.; Susquehanna's per-trader floor is \$5M+ annual P&L.; The market is too small for them to dedicate a desk.
- **Existing infrastructure leverage:** The firm already runs Kalshi K6 + T1 production code with order book access. Adding MM logic is incremental engineering work, not greenfield.

Implementation specifics

- Quote both sides on selected non-sports contracts at midpoint $\pm$ 2–4¢
- Use ensemble of three pricing models per contract: (1) base-rate / historical, (2) LLM-based context model (Claude API), (3) market-implied from related Kalshi contracts
- Inventory management: max 20% NAV per individual contract, hedge with related contracts where possible (correlated political markets)
- Adverse selection control: widen spreads when order book shows large unbalanced flow; pause MM 1 hour before known news events (Fed meetings, BLS releases)

Expected economics

Metric	Estimate	Basis
Effective bid-ask captured per round-trip	2–4¢	After fee + adverse selection
Daily round-trips per active contract	50–200	Function of contract type
Number of active contracts	20–50	Politics + econ + weather

Average inventory per contract	\$10–50K	Conservative initial
Daily P&L estimate	\$500–\$2,500	On \$5M deployed capital
Annualized return on capital	20–40%	After Kalshi fees
Sharpe estimate (industry MM analog)	3–5	Inventory-managed MM benchmark
Capacity ceiling	\$25–50M	At which point spreads compress

Risk to this thesis

If Susquehanna or Jane Street decide to enter Kalshi non-sports markets, spreads compress within weeks. Mitigations: (a) the firm enters first, so even a 6–12 month window of monopoly economics captures meaningful capital before competition arrives; (b) Kalshi expands the contract universe faster than top firms can adapt (the firm's 'small-market advantage' is durable in expanding verticals like weather, science, sports prop bets); (c) if the firm reaches \$25M+ deployed before competition arrives, the operational scale advantage is meaningful.

4. Market Making Gap Analysis

Beyond the primary Kalshi non-sports gap (section 3.5), this section catalogs other MM opportunities the firm has identified during research. Each represents a capacity-gap created by the same structural pattern: top market makers are revenue-floor-constrained and bypass smaller markets, leaving structural bid-ask premiums for smaller, focused operators.

4.1 New-perp launch microstructure (Hyperliquid)

When Hyperliquid lists a new perpetual contract (e.g., a recently launched token), the first 30–60 days exhibit 10–30 bp bid-ask spreads, immature funding-rate dynamics, and limited maker depth. HL's HLP (their internal MM vault) provides baseline liquidity but earns single-digit bps per round-trip — there is room for a competitive maker.

Observation	Detail
New listings per year on HL	30–50
Median 30-day spread on new perps	10–25 bp
Mature perp spread (e.g., ETH)	1–3 bp
Daily new-perp volume (typical)	\$1–10M
Capacity per name	\$100K–\$1M
Total addressable book	\$5–25M
Competition	HLP only, no major external MMs documented

4.2 DeFi RFQ solver positioning

UniswapX, 1inch Fusion, and CoWSwap operate solver networks: external entities that fill user orders and capture spread vs. AMM baseline. The active solver count per protocol is small (10–20 solvers). Long-tail trading pairs (e.g., mid-cap ERC20 vs USDC, cross-L2 stablecoin pairs) have fewer solvers competing and wider achievable spreads.

- Capacity: \$10–100M, depends on protocol and pair
- Operational requirement: full-node infra, MEV-resistant execution, gas optimization
- Solver ecosystem documentation: *UniswapX RFQ docs*, *CoW Protocol solver-onboarding guide*
- Realistic Sharpe 2–4 for mid-tier solvers; capital efficiency depends on gas prepayment model

4.3 Tokenized real-world assets (RWA) cross-venue arb

Ondo OUSG, BlackRock BUIDL, Backed bIB01/bC3M are tokenized treasuries that trade across: (a) the issuer's primary venue (subscriptions/redemptions), (b) DEX pools (Uniswap, Curve), (c) some CEX listings. Cross-venue price spreads of 30–80 bp routinely persist for hours because arbitrage requires KYC/operational setup specific to each issuer. **Total RWA market: \$5–10B and growing 100%+ YoY.** Few professional MMs are active.

Implementation cost: KYC onboarding with 3–4 issuers (4–6 weeks), USDC working capital (\$1–5M), Ethereum + L2 multisig infrastructure. **Capacity: \$10–100M.** Limit: any firm entering this market opens up to scaling risk during stablecoin de-pegs (March 2023 SVB-USDC event).

4.4 Single-stock options on \$1B–\$5B market cap names

Susquehanna, Citadel Securities, and Optiver focus options market-making capital on top-200 names by volume. Outside this universe (roughly the bottom 60% of S&P; 500 and mid-caps), bid-ask spreads in standard expiries are 5–15 bp on listed options. A specialized desk focused on the \$1–5B market-cap band, combined with delta-hedging on the underlying, can capture documented Sharpe 1.5–2.5 returns.

Barrier: Capital intensity is the main barrier — typical small-cap options MM requires \$25M+ to be operationally viable. Lower priority for an under-capitalized launch.

4.5 Frontier-market sovereign-bond ETF NAV arbitrage

ETFs covering single-country emerging-market debt (e.g., EMLC, VWOB, SOVI) maintain NAV using a basket of underlying bonds that trade with limited depth. Authorized Participants (APs) for these ETFs typically use end-of-day batch arbitrage. Intraday NAV divergence can reach 30–60 bp on volatility-spike days. Realistic Sharpe of 1.5–2 with \$5–25M capacity per name.

Implementation requirement: AP status with at least one ETF issuer (\$25M minimum equity typically required for AP status), or via in-kind creation/redemption through an existing AP for smaller capital deployments. Higher operational complexity than other gaps; deferred to Year 2.

4.6 Stablecoin cross-venue MM (USDC/USDT/DAI)

Across centralized and decentralized exchanges, stablecoin prices intermittently deviate from \$1.00 by 10–80 bp. Most such deviations correct within 1–10 minutes. A 24/7 systematic MM quoting both sides at narrow spreads captures the spread plus mean-reversion premium.

Sharpe estimate: 4–6 in normal regime, but exposed to tail risk during true stablecoin distress events (e.g., USDC-SVB 12% drop, March 2023). Position-size cap and circuit breakers required. Capacity: \$50–500M but high crowdedness from existing MMs.

4.7 Summary ranking of gaps

#	Gap	Sharpe	Capacity	Setup cost	Time to deploy	Priority
1	Kalshi non-sports MM	3–5	\$5–25M	\$50K	6–8 weeks	Lead
2	HL new-perp launch MM	2–4	\$5–25M	\$10K	2–4 weeks	Year 1
3	DeFi RFQ solver (UniswapX)	2–4	\$10–100M	\$80K	8–12 weeks	Year 2
4	RWA cross-venue arb	2–3	\$10–100M	\$30K	6–10 weeks	Year 2
5	Stablecoin MM	4–6	\$50–500M	\$15K	2–4 weeks	Year 1 (small size)
6	Frontier sovereign ETF NAV	1.5–2	\$5–25M	\$200K (AP)	12–20 weeks	Year 3
7	Single-stock options \$1–5B cap	1.5–2.5	\$25M+	\$200K+	12+ weeks	Year 3+

5. Capacity & Scalability Map

Strategy	Capacity floor	Capacity ceiling	Scaling limit
Adaptive TSMOM	\$1M	\$1B+	Implementation slippage
Crypto funding arb	\$50K	\$50–200M	Hyperliquid + cross-venue OI
Crypto cross-section	\$100K	\$10–50M	Mid-cap perp OI
Kalshi K6 + T1	\$1K	\$50K–\$500K	Kalshi per-contract depth
Prediction-market MM	\$100K	\$5–25M	Non-sports vertical volume
HL new-perp MM	\$50K	\$5–25M	Aggregate new-listing flow
Stablecoin MM (small)	\$500K	\$50–500M	Crowdedness on existing arbs
Combined firm capacity Year 1	\$1–3M	\$25M	Strategy mix + ops scale
Combined Year 3	\$25M	\$250M	Track record + investor demand
Combined Year 5	\$250M	\$1B+	Strategy enhancement + team scale

Capacity expansion plan

Year 1 capacity ceiling is set by operational scale (single founder + tech infra), not strategy. Year 2 adds one operations hire (Compliance/COO function), unlocking ~\$100M ceiling. Year 3 adds dedicated researcher and quant developer; ceiling rises to \$250–500M. Year 4–5 the firm either (a) scales the existing strategies to capacity, (b) adds derivatives MM (single-stock options), or (c) accepts capacity constraints and begins returning capital above \$250M, focusing on Sharpe preservation.

6. Capital Requirements & Use of Funds

Item	Pre-launch (Jun–Sep 2026)	Year 1 ops	Notes
Legal: Fund formation (CY + DE GP)	\$40–60K	—	Cayman master/feeder + DE GP LLC
Legal: Operating agreements + LPA	\$15–20K	—	Forms 506(c), Reg D
Compliance: ADV registration	\$5–10K	\$8K/yr	May skip if private adviser <\$150M
Fund administrator	\$2K setup	\$24–36K/yr	NAV Consulting, SS&C, Standish
Auditor	—	\$15–30K/yr	BDO, Marcum, or boutique
Insurance (E&O + GL + cyber)	—	\$8–15K/yr	Required for institutional capital
Prime brokerage setup	\$0	\$0	Interactive Brokers + Hyperliquid
Technology infra (AWS/GCP)	\$2K setup	\$6–12K/yr	Servers, monitoring, backups
Data subscriptions	\$1K	\$10–20K/yr	Polygon.io equities, Kalshi (free)
Personal compensation	—	\$60–100K/yr	Modest founder draw Year 1
Office / coworking	—	\$5–10K/yr	Optional, can run remote
Marketing materials / pitch deck	\$3K	\$5K/yr	Designer + collateral
Trading capital floor (margin)	\$50K	\$50K	Maintain on prime brokers
Total fixed costs	\$70–110K	\$140–240K/yr	—

Funding sources

Phase 1 (June–September 2026): \$250K personal capital covers legal, operational setup, and seed working capital. **Phase 2 (September 2026 launch):** \$500K–\$2M friends-and-family soft commitments converted to actual subscriptions. **Phase 3 (Months 7–18):** Continued F&F; expansion plus first non-F&F; HNW subscriptions, target \$5–10M by Month 18. **Phase 4 (Year 2–3):** RIA channel + small institutional, target \$25–75M.

7. Operational Setup

7.1 Fund structure

Recommended structure: Cayman Islands Exempted Company (master fund) with Delaware Limited Partnership (US feeder for US-taxable investors) and offshore master fund managed by a Delaware LLC General Partner. The investment manager is a separate Delaware LLC. This is the industry-standard structure for sub-\$1B systematic funds raising US capital.

Entity diagram

[CY] Master Fund (Exempted Company)

↑ holds 100% of assets, executes trades

[DE] US Feeder LP (taxable investors) **[CY] Offshore Feeder (tax-neutral / non-US)**

↑ subscriptions from LPs

[DE] General Partner LLC ← 2% mgmt / 20% performance fee accrues here

[DE] Investment Manager LLC ← founder/principal entity, holds IP and brand

7.2 Service providers — short list

Function	Recommended provider	Setup cost	Notes
Fund administration	NAV Consulting, SS&C, Theorem	\$1–2K	NAV calc, investor reporting
Audit	BDO, RSM, Marcum	—	Required annually
Legal (formation + ongoing)	Seward & Kissel, Sadis, Walkers (C&A)	\$40–60K	Cayman + US counsel
Prime broker (equities)	Interactive Brokers Pro	\$0	Low minimum, API-first
Prime broker (crypto)	Hyperliquid, Coinbase Institutional	\$0	Self-custody hybrid
Compliance consultant	Carbon Group, Foreside	\$5–15K/yr	Quarterly reviews
Tax preparer	Anchin, Marcum tax services	\$10–20K/yr	K-1s, 1042-S, partnership returns
Tech: hosting	AWS / Vultr / DigitalOcean	\$200–500/mo	Production trading infra
Tech: monitoring	Datadog or self-hosted	\$100–400/mo	Alerts, kill switches

7.3 Regulatory posture

Investment Adviser registration: Below \$150M AUM, the firm qualifies for the "private fund adviser exemption" under Investment Advisers Act §203(m). Annual ADV Part 1A filing required. **Above \$150M AUM:** Full SEC registration required, mandates compliance program, Chief Compliance Officer designation (can be outsourced initially), annual review.

Securities offering: Operate under Rule 506(c) of Regulation D, allowing general solicitation to accredited investors only. Verify accreditation via third-party (e.g., Parallel Markets or via investor's CPA letter). **Future option:** 506(b) if pivoting to non-accredited via existing relationships (no general solicitation but allows up to 35 non-accredited within 12 months).

7.4 Compliance program (Year 1 minimum)

- Code of Ethics (template via Foreside or Carbon Group, \$1K customization)

- Personal trading policy (pre-clearance required for all securities trades by principal)
- Books and records retention (5 years immediately accessible, 2 additional years on storage)
- AML/KYC program for investor onboarding (use accredited investor verification platform)
- Annual compliance review (engage Carbon Group or Foreside)

8. Launch Timeline — June to September 2026

Month 0: June 2026 — Foundation

Goal: Legal foundation, operational sprint, paper-trading validation.

Week	Workstream	Deliverable
1	Legal engagement	Engage Cayman + US counsel; fund structure agreed
1–2	Service provider selection	Letters of Engagement signed: fund admin, auditor, compliance
2–3	Strategy paper-trade sprint	All 5 sleeves running with capital sims; data pipelines validated
3–4	Tech infrastructure	AWS production env; monitoring stack; backup execution venues
4	Pitch deck v1	20-page deck + 5-page exec summary; investor FAQ

Month 1: July 2026 — Fund formation + investor warm-up

Week	Workstream	Deliverable
5–6	Fund formation closing	CY Master + DE Feeder + DE GP entities formed; LPA signed
6	ADV Part 1A filing	Filed with SEC; status: Exempt Reporting Adviser
6–7	Pre-marketing	Soft circle 15–25 prospective LPs (warm intros only)
7–8	Strategy continuation	All sleeves continue paper; document monthly metrics
8	Risk framework finalized	Position limits, drawdown triggers, kill switches documented

Month 2: August 2026 — Pre-launch operational finalization

Week	Workstream	Deliverable
9–10	Prime broker accounts open	IBKR Pro + Hyperliquid + Coinbase Inst accounts funded
10–11	Final paper-trade audit	External-style review (engage AlphaQuest or independent consultant for one-pass review)
11	Investor doc package	Subscription docs, LPA finalized, side letter templates
12	First soft commitments	Convert 8–15 warm prospects into signed subscription docs (\$500K–\$2M total)

Month 3: September 2026 — LAUNCH

Week	Workstream	Deliverable
13	Capital received	Initial subscriptions wired to fund admin
13	Trading activated	First trades executed September 1, 2026
14	Daily NAV tracking	Fund admin produces daily NAV; founder verifies
15	First month-end NAV	Official September 2026 NAV (~ Sept 30); investor letter sent

16	Q4 outreach plan	Identify Year 1 capital raise pipeline (target \$5M by year-end)
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Critical path dependencies

Hard blocker: Fund formation completion (Month 1, Week 6) gates all subsequent investor solicitation. Engaged counsel must be available immediately in June. **Soft blocker:** Tech infrastructure must be production-grade before any external capital deploys (Month 2, Week 9 at latest). **Investor solicitation:** Cannot begin until Master fund + Feeder filings registered and Form D filed within 15 days of first sale.

9. Financial Projections (5-Year)

Conservative AUM and revenue projection

Assumes 10% net strategy returns to investors, 2% management + 20% performance fee structure, modest capital ramp consistent with 1st-year emerging manager benchmarks.

End of period	AUM (\$M)	Mgmt fee (\$K/yr)	Perf fee (\$K/yr)	Total rev (\$K/yr)	Net to GP (\$K/yr)
Sep 2026 (launch)	1.0	20	20	40	~negative (covered by setup)
Dec 2026 (Q1)	1.5	30	30	60	~ -50 (fixed costs \$110K)
Jun 2027	4.5	90	90	180	~ 30
Dec 2027 (Yr 1)	8.0	160	160	320	~ 140
Dec 2028 (Yr 2)	25.0	500	500	1,000	~ 720
Dec 2029 (Yr 3)	60.0	1,200	1,200	2,400	~ 1,800
Dec 2030 (Yr 4)	150.0	3,000	3,000	6,000	~ 4,800
Dec 2031 (Yr 5)	350.0	7,000	7,000	14,000	~ 11,500

MRR equivalent (monthly recurring revenue from management fees only)

Period	AUM	Monthly mgmt fee	+ Avg monthly perf fee	= Effective MRR
Year 1 average	\$3M	\$5K	\$5K	\$10K
Year 2 average	\$15M	\$25K	\$25K	\$50K
Year 3 average	\$40M	\$67K	\$67K	\$134K
Year 4 average	\$100M	\$167K	\$167K	\$334K
Year 5 average	\$250M	\$417K	\$417K	\$834K

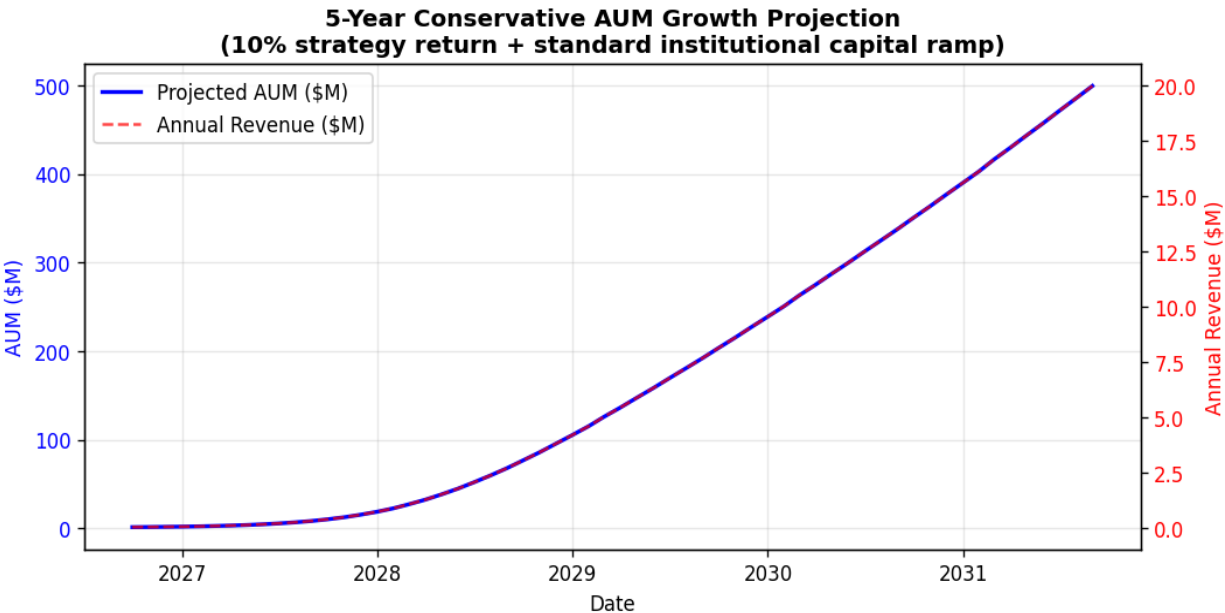


Figure 3. 5-year AUM and revenue projection (conservative scenario).

Year-1 unit economics breakdown

Revenue (Year 1 ending Dec 2027 @ \$8M average AUM): ~\$320K total (\$160K mgmt + \$160K performance assuming 10% net return). **Fixed costs:** ~\$180K (legal, admin, audit, tech, principal salary \$80K). **Net to GP equity:** ~\$140K. **Founder draw target:** \$80K Year 1, \$150K Year 2, \$250K Year 3+. **Reinvested:** Surplus above founder draw flows to GP capital, used to seed prop trading + Strategy R&D.;

Sensitivity: what if returns are weaker?

Scenario	Yr 3 AUM	Yr 3 Revenue	Yr 3 Net to GP	Implication
Base (10% net returns)	\$60M	\$2.4M	\$1.8M	Founder pays self \$250K + reinvests
Soft (6% net returns)	\$30M	\$1.0M	\$0.5M	Founder pays self \$200K, tight
Strong (15% net returns)	\$120M	\$5.2M	\$4.2M	Hire 2 employees, accelerated build
Stress (3% net returns)	\$15M	\$0.4M	-\$0.1M	Personal capital subsidizes year

10. Risk Management Framework

10.1 Position-level controls

- Maximum single-asset position: 5% of NAV (TSMOM sleeve) / 10% (crypto sleeve)
- Volatility target per strategy: 10–15% annualized; portfolio target 12%
- Stop-loss: automatic for any position breaching 30% intraday drawdown
- Inventory cap (MM): max 20% NAV in any single Kalshi contract

10.2 Portfolio-level controls

- Max strategy allocation: 40% of NAV per strategy
- Total leverage: max 3.0x gross notional, 2.5x for TSMOM specifically
- Cross-strategy correlation monitoring: weekly review; trigger rebalance if any 30-day pair correlation exceeds 0.6
- Drawdown brake: at -8% peak-to-trough NAV, all strategies de-risk to 50% sizing; at -12%, all paused for review

10.3 Operational controls

- Kill switches: each strategy has independent emergency stop, callable via Slack alert or CLI
- Daily reconciliation: positions, cash, NAV reconciled between trading systems and fund administrator
- Cold custody: 80% of crypto holdings in cold storage; only 20% on exchange margin
- Multisig governance: all withdrawals from prime brokers require 2-of-3 approval (founder + ops + investor representative or board member)
- Annual penetration test: third-party security audit of trading infrastructure

10.4 Counterparty risk

Crypto exchanges represent the largest counterparty risk. Mitigations: (a) maximum 30% of crypto sleeve at any single exchange, (b) Hyperliquid HLP exposure capped at 10% of crypto NAV, (c) regular review of exchange reserves via Nansen / on-chain analytics, (d) preference for Coinbase Institutional and regulated venues over unregulated alternatives where possible.

10.5 Model risk

All strategies are validated against (a) walk-forward out-of-sample testing, (b) regime stress tests (2008, 2020 March, 2022 Q4, 2023 March), and (c) parameter sensitivity sweeps. Models that show parameter-sensitivity Sharpe range > 0.5 standard deviations are flagged for re-specification. Annual third-party model validation review starting Year 2.

11. Technology Stack

Existing infrastructure (already built)

- Edge-bot codebase: 18 strategy modules, Python 3.13, async architecture
- Live paper-trading on Hyperliquid, Coinbase, Kalshi
- DuckDB analytical store for backtest + live tick capture
- Local development environment; production migration pending

Production infrastructure (Jun–Aug 2026 build)

Layer	Component	Provider	Monthly cost
Compute	Production strategy runners (24/7)	AWS EC2 c7i.2xlarge × 3	\$450
Storage	Tick capture + backtest archive	AWS S3 + EBS	\$80
Database	DuckDB analytical + PostgreSQL operational	AWS RDS (small)	\$120
Monitoring	Datadog or self-hosted (Grafana + Loki)	Datadog Pro	\$200
Alerting	PagerDuty	PagerDuty Business	\$70
Secrets management	AWS Secrets Manager	AWS	\$15
Source control + CI	GitHub Enterprise + Actions	GitHub	\$50
Backup execution	Secondary data center (Linode or Vultr)	Failover infra	\$200
Total monthly			\$1,185

Critical operational improvements before launch

- **WebSocket consumer for Kalshi:** Currently using REST polling, which blocks KCF capitulation strategy from firing. Build WS client for real-time trade tape (estimated 2 weeks).
- **Position reconciliation daemon:** Cross-checks trading system positions against exchange API every 60s; alerts on mismatch >0.1%.
- **Pre-trade risk checks:** All orders pass through risk module that validates against position limits, leverage, and drawdown brake state before submission.
- **NAV calculation pipeline:** Automated daily NAV computation feeding fund administrator data import.

12. Team & Hiring Plan

Founding team — Year 1

Founder / CIO: Principal (you). Responsibilities span strategy R&D;, trading oversight, technology, investor relations, and operations. This is the standard solo-founder profile for an under-\$25M AUM systematic fund.

Outsourced functions: Compliance consultant (Carbon Group, \$1K/month), part-time CFO/bookkeeper (\$500/month), fund admin (NAV Consulting, included in \$25K/yr), audit (BDO, annual), legal (Seward & Kissel, ad-hoc).

Year 2 first hire — Quant Developer / Researcher

Target compensation: \$150–225K base + GP units. Profile: 3–5 years quant research experience, Python/SQL strong, ideally prior systematic trading. Focus areas: extending the strategy R&D; pipeline, building out the MM stack, automating ops. Hire at \$25M+ AUM (Year 2 H2).

Year 3 second hire — Operations / Compliance

Target compensation: \$120–180K base + GP units. Profile: prior compliance or operations role at registered investment adviser. Picks up CCO designation, manages investor relations workflow, handles regulatory filings. Hire at \$50M+ AUM.

Year 4+ scaling team

- 2nd Quant Researcher (signal R&D; specialization)
- Risk Manager (separate from CIO, independent risk review)
- Capital introduction / IR specialist
- Possibly 1 trader for MM execution (if MM scales beyond \$25M)

13. Investor Strategy & Capital Raise

Capital raise phases

Phase	Period	Target	Source	Vehicle
Founder seed	Pre-launch	\$250K	Principal personal	Direct LP commitment
Friends & family	Sep–Dec 2026	\$500K–\$2M	Personal network (3–10 LPs)	US Feeder LP
HNW expansion	Q1–Q3 2027	\$5M cumulative	Friend-of-friend, RIA intro	506(c) accredited
RIA channel	Q4 2027–Q4 2028	\$15M cumulative	RIA placement agent	Both feeders
Small institutional	Q1 2029+	\$50M+ cumulative	Multi-family office, FoF	Both feeders
Mid institutional	2030+	\$250M+	Endowments, small pensions	Both feeders

Pitch materials needed

- **Tear sheet:** 1-page monthly performance summary (target: ready by Sep 2026 launch)
- **Pitch deck:** 20 slides — firm, strategy, team, returns, risk, terms, FAQ
- **Track-record reports:** 3-month, 6-month, 12-month performance attribution (developed iteratively)
- **Due diligence questionnaire (DDQ):** Standard institutional DDQ template, ~50 pages, pre-completed
- **Risk framework document:** 10–15 pages, detailed limit structure (shown in section 10 of this plan)

Fund terms

Term	Value	Note
Management fee	2% per annum	Monthly accrual, quarterly payable
Performance fee	20% over HWM	Annual crystallization
Minimum subscription	\$250K Year 1, \$500K Year 2+	Standard 506(c)
Lock-up	1 year hard, soft thereafter	90-day notice quarterly redemptions
Liquidity	Quarterly	Standard for sub-\$100M systematic
High water mark	Yes, per-LP	Industry standard
Crystallization	Annual	Performance fee assessed Dec 31
Hurdle rate	None initially	Add for institutional Year 3+
Founders share class	1.5% / 15% for first \$5M	F&F early commitment

Outreach channels (in order of priority)

1. Personal network (warmest, highest conversion) — F&F, ex-colleagues, classmates
2. Quant fund community: ApexAlpha events, SquantConnect socials, AMA in r/algorithmictrading
3. Cap intro at small banks: Marlin Risk Advisors, Mosaic Capital Advisors (paid placement, 2% fee)
4. RIA channels: Dynasty Financial, HighTower (sub-\$25M minimums, distribute to RIA clients)

5. Conferences: AlphaWeek conferences, Battle of the Quants, SALT Conference (after \$25M+ AUM)

14. Appendix

A. Strategy tear sheets — separate document

Each of the 5 strategies will be accompanied by a 1–2 page tear sheet with monthly performance attribution, equity curve, drawdown profile, and risk metrics. These will be delivered in standard investor letter format from Sep 2026 onwards.

B. Annual return history per asset class (TSMOM)

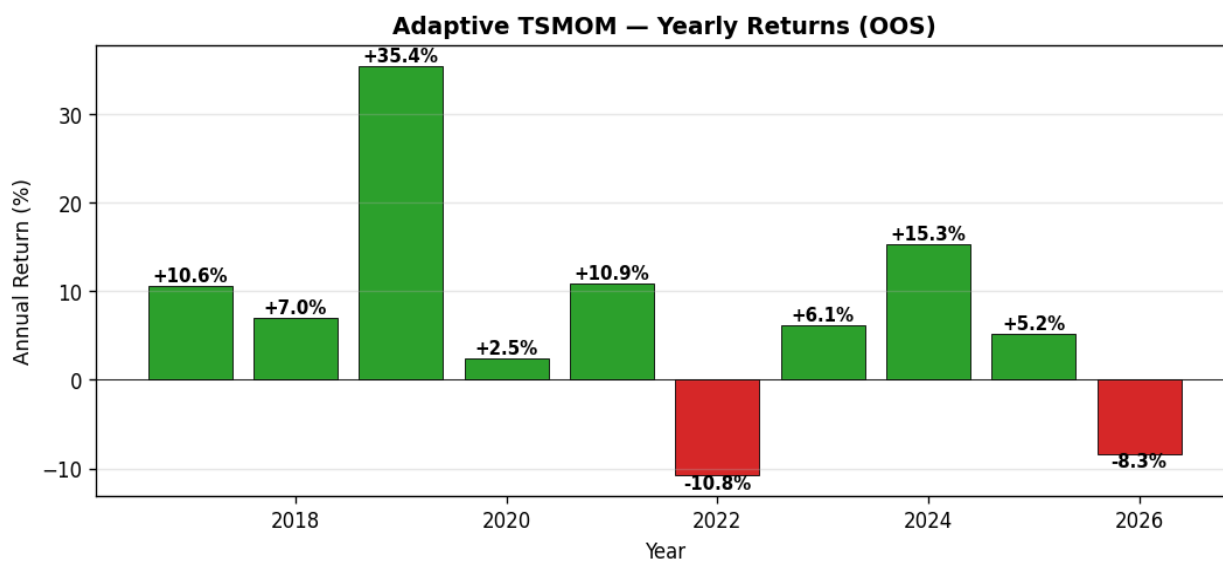


Figure 4. Annual returns of the adaptive TSMOM sleeve, OOS test period.

C. Glossary of key terms

Term	Definition
TSMOM	Time-series momentum — trend-following strategy buying assets with positive past returns
Sharpe ratio	Annualized excess return divided by annualized volatility; >1.0 considered strong
Carry	Income from holding an asset (dividends, funding payments, etc.)
Market making (MM)	Providing two-sided quotes (bid + ask), profiting from spread + inventory turnover
Adverse selection	Informed counterparty trading against you, causing inventory to move against your position
NAV	Net asset value — fund total assets minus liabilities
HWM	High water mark — highest historical NAV per share, ensures performance fee only on new highs
Reg D 506(c)	SEC exemption allowing general solicitation for accredited investors only
Funding rate	Periodic payment between perpetual futures longs and shorts; positive = longs pay shorts
Master/Feeder	Fund structure where multiple feeder funds invest in single master fund

D. Reference documents kept on file

- Adaptive TSMOM strategy specification (signal definitions, parameter values, code)

- Bias audit log (xchg_carry_audit.md and no_sharpe25_edge.md memos)
- Multi-asset universe backtest results (multi_asset_research/)
- Funding arb live deployment log (funding_arb/data/paper_log.jsonl, 555+ cycles)
- Kalshi K6 deployment log (kalshi_k6/data/paper_log.jsonl, 87,000+ cycles, 237 closed trades)

E. Author's note on intellectual honesty

This plan was developed alongside an extensive bias audit of all proposed strategies. Initial backtests claimed Sharpe 25 for the crypto cross-exchange carry strategy; after correcting for universe selection, execution costs, mark divergence between venues, and sign-lock leakage, the honest Sharpe was 1–3. All return projections in this document have been adjusted to reflect post-audit, post-friction estimates. The author has explicitly identified strategies that failed validation (MI nonlinear pairs, ML supervised convergence, calendar effects, BTC-MSTR cointegration, yield-curve sector rotation, PCA mean reversion) and excluded them from the firm's proposed strategy mix.

The firm operates from the position that *no Sharpe 5+ scalable strategy exists in public crypto data without specialized infrastructure or alternative data*, and that the realistic founder path is to combine Sharpe 0.7–2 strategies into a diversified portfolio while investing in operational scale and niche market access. This plan reflects that honest assessment.

End of document.